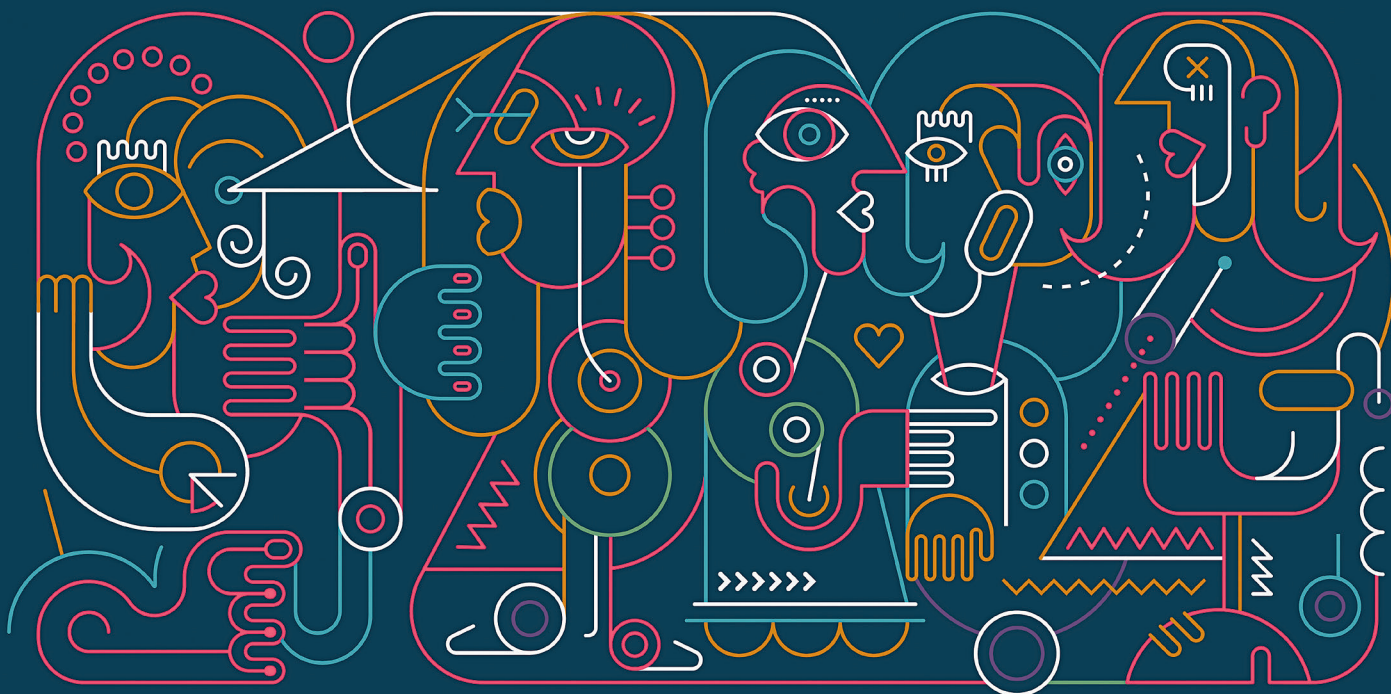




REASON WHY STARTUPS DO NOT ACHIEVE 'SCALEUP STATUS' - AN INEFFICIENT OPERATING MODEL

You have managed to grow your startup to become an organization that is a hundred people strong. You have just closed a major funding round. There is a feeling of success and invincibility all around and you believe you have finally arrived.

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Fast forward to eighteen months later and you have run out of runway and your investors are not very happy. The expected robust growth has not materialized. You are in need of the next round of funds and it is becoming clearer that you only have two choices, you give away too much equity to raise a fraction of the funds you need or you give up. Why are many lauded and poised-to-aggressively-grow companies not making it? We have made a few key observations about what triggers and sustains success for such companies. We identified a few critical changes that founders have to make to their own outlook and capabilities. Here are some recommended approaches:

Founder's much needed adaptive mindset: The early stages of a startup are focused on demonstrating product-market-fit and validating market potential that can be tapped into. When hitting the scale up stage, founding teams' need to shift from a culture of experimentation to adopt a more disciplined mindset. One that can create repeatable and proven processes, at scale while simultaneously achieving productivity and efficiency.

Evolving from a generalist to a specialist talent force: Moving from startup to scale up requires discipline and efficiency and that comes from having specialists in specific roles. This calls for timely changes to the

founders' talent landscape. For example, scale ups might need a more experienced people leader who can navigate the (next-level) challenge of building a cohesive culture, acquiring and retaining talent to meet scale.

Focusing on different financial indicators: In the early stages of growth, focus is centered on finding an attractive customer segment/market and defining a value proposition. At the scale up stage, focus shifts to financial metrics like LTV, CAC, payback period and unit economics to determine if growth is actually profitable or not. Moving to start tracking/measuring and using these indicators as guidance requires change that is reflected across the board alongside a new vision and strategy.

Building the next rung of leaders: Scaling an organization requires the next level of leaders be identified and groomed. If not available within the organization then such talent needs to be sourced and brought in at the right moment. Many founders are caught off guard by the lack of people who can fill their shoes in now (bifurcated or) different roles.

We have also observed that in a need to ensure a flat hierarchy, founders will have plenty of people reporting to them and this becomes a bottleneck. The resulting lag in decision making frustrates the next rung of leaders who want to move fast.

Keeping an eye on the burn rate: The sudden abundance of funds sometimes leads founding teams to take on a plethora of bets and initiatives. This leads to a whole portfolio of initiatives being executed across the organization but with very little oversight and governance. Establishing a lean governance process around the prioritization of initiatives and being clear on the expected value out of them is paramount.

Managing change: Managing expectations of investors, employees and customers during phases of strategic change and growth is expected. At such points of change, some founders go ahead with the change in strategy or vision but continue with the older organizational structure. Sometimes a quick fix organizational design is rolled out, characterized by redesigned teams, new functions/expertise and new practices. Our recommendation is to always adopt a new strategy alongside a new and relevant operating model. It is equally important to be able to step back and assess if the new operating model is adequately meeting the needs of the latest business strategy.

The key to successfully scaling for startups lies in being disciplined and aiming for sustainable growth. This is possible when founding teams consistently seek clarity of vision, build and nurture a well crafted strategy, adopt disciplined processes to drive growth and a scalable operating model.